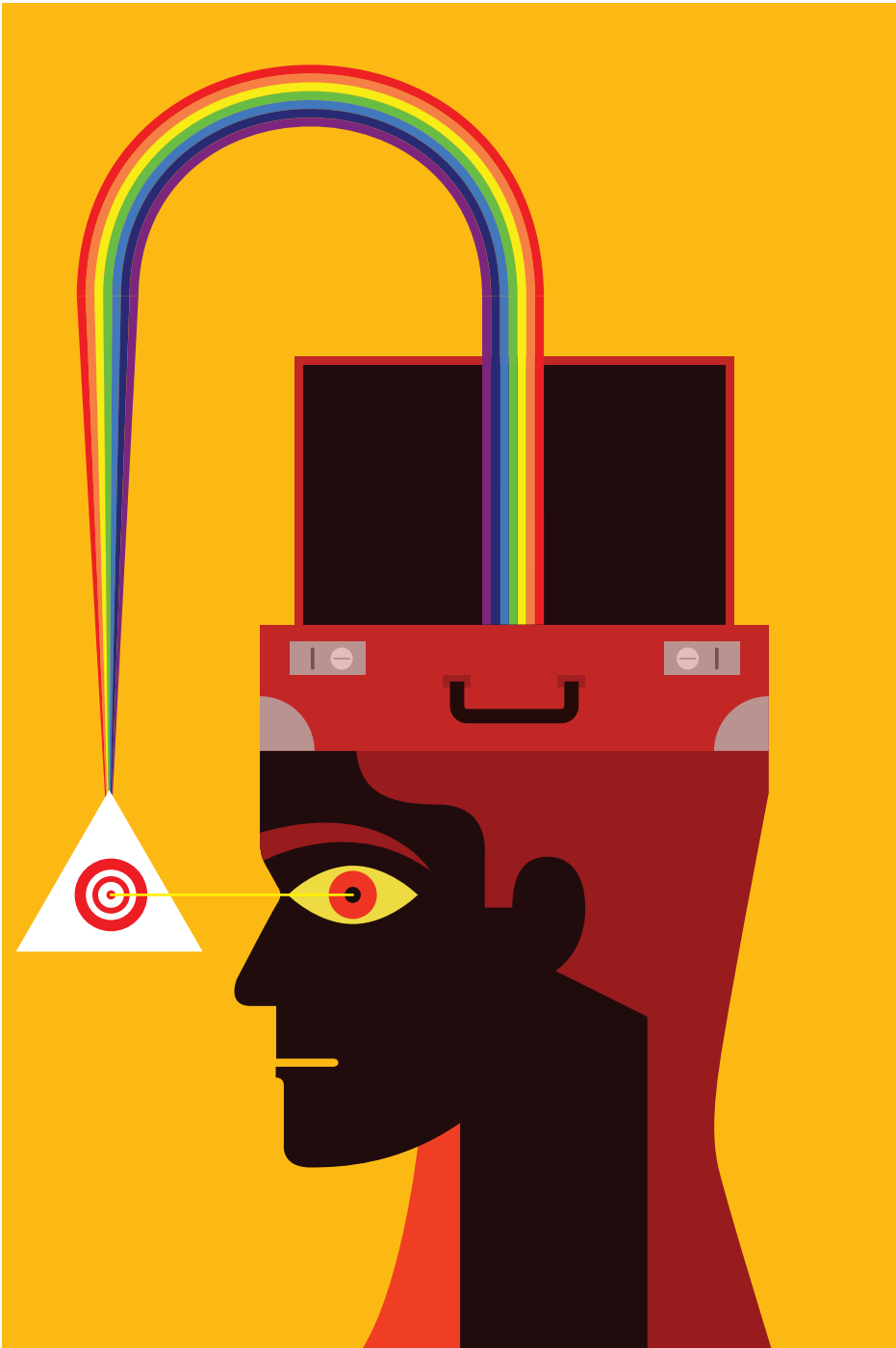




**Is the public debt a serious concern? Going by the interest payments data, already it is one-fourth of the total revenue receipts, leaving less resources for capital- and other social sector expenditure**

could only increase the risk on the external account.

Another directional shift in the Interim Budget is the focus on the long-term objective of achieving Viksit Bharat. The broad policy of focussing on governance-development-performance could be the direction for the next 25 years and already there are some initiatives in that direction. Focussing on outcomes and saturation in social sector programmes, especially in the areas of housing, rural energy, water and sanitation, etc., should help improve public expenditure efficiency as well as result in savings. The Finance Minister did mention that there were savings of a whopping ₹2.7 lakh crore through better implementation and focussing on beneficiaries. Scaling up of the aspirational districts and aspirational blocks programme and focussing on some regions are expected to ensure inclusivity in order to achieve the objectives of becoming a developed nation by 2047, with no one and no region left behind. On the social sector front, as the arguments are between equity and efficiency, the Interim Budget's focus is 'equity with efficiency,' and there need not be any trade-off between the two.

On the overall fiscal deficit, for the first time, the market borrowing is expected to decline to ₹16.9 lakh crore from ₹17.3 lakh crore in 2023-24 and this will help provide more resources for the private sector and put lower pressure on the yields and interest rates. One major contributor for this reduction is in the overall subsidies from 1.4% to 1.2% of the GDP.

To sum up, the Interim Budget turned out to be less populist, less eventful, and more forward-looking. It can guide the country for the *Amrit Kaal* and I hope it would be more inclusive in that journey. **BT**

*The author is Vice Chancellor,  
Dr B.R. Ambedkar School of  
Economics University, Bengaluru.  
Views are personal*